

CONSUMER & COMMUNITY BANKING

Consumer & Community Banking offers services to consumers and businesses through bank branches, ATMs, digital (including online and mobile) and telephone banking. CCB is organized into Consumer & Business Banking (including Consumer Banking/Chase Wealth Management and Business Banking), Home Lending (including Home Lending Production, Home Lending Servicing and Real Estate Portfolios) and Card, Merchant Services & Auto. Consumer & Business Banking offers deposit and investment products and services to consumers, and lending, deposit, and cash management and payment solutions to small businesses. Home Lending includes mortgage origination and servicing activities, as well as portfolios consisting of residential mortgages and home equity loans. Card, Merchant Services & Auto issues credit cards to consumers and small businesses, offers payment processing services to merchants, and originates and services auto loans and leases.

Selected income statement data

Year ended December 31, (in millions, except ratios)				
	2018	2017	2016	
Revenue				
Lending- and deposit-related fees	\$ 3,624	\$ 3,431	\$ 3,231	
Asset management, administration and commissions	2,402	2,212	2,093	
Mortgage fees and related income	1,252	1,613	2,490	
Card income	4,554	4,024	4,364	
All other income	4,428	3,430	3,077	
Noninterest revenue	16,260	14,710	15,255	
Net interest income	35,819	31,775	29,660	
Total net revenue	52,079	46,485	44,915	
Provision for credit losses	4,753	5,572	4,494	
Noninterest expense				
Compensation expense ^(a)	10,534	10,133	9,697	
Noncompensation expense ^{(a)(b)}	17,301	15,929	15,208	
Total noninterest expense	27,835	26,062	24,905	
Income before income tax expense	19,491	14,851	15,516	
Income tax expense	4,639	5,456	5,802	
Net income	\$ 14,852	\$ 9,395	\$ 9,714	
Revenue by line of business				
Consumer & Business Banking	\$ 24,805	\$ 21,104	\$ 18,659	
Home Lending	5,484	5,955	7,361	
Card, Merchant Services & Auto	21,790	19,426	18,895	
Mortgage fees and related income details:				
Net production revenue	268	636	853	
Net mortgage servicing revenue ^(c)	984	977	1,637	
Mortgage fees and related income	\$ 1,252	\$ 1,613	\$ 2,490	
Financial ratios				
Return on equity	28%	17%	18%	
Overhead ratio	53	56	55	

Note: In the discussion and the tables which follow, CCB presents certain financial measures which exclude the impact of PCI loans; these are non-GAAP financial measures.

(a) Effective in the first quarter of 2018, certain operations staff were transferred from CCB to CB. The prior period amounts have been revised to conform with the current period presentation. For a further discussion of this transfer, refer to CB segment results on page 71.

(b) Included operating lease depreciation expense of \$3.4 billion, \$2.7 billion and \$1.9 billion for the years ended December 31, 2018, 2017 and 2016, respectively.

(c) Included MSR risk management results of \$(111) million, \$(242) million and \$217 million for the years ended December 31, 2018, 2017 and 2016, respectively.